Lotte Wellfood (280360 KS)

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Second driver of earnings improvement

BUY (M)

Target price	W165,000 (M)
Previous target price	W165,000
Current price (Oct 20)	W122,400
Upside potential	35%

Market cap (Wbn)	1,127
Shares outstanding	9,204,574
Avg daily T/O (2M, Wbn)	4
Avg daily volume (2M, shrs)	30,324
52-week high/low (won)	148,600 / 91,900
Foreign ownership (%)	13.89%
Dividend yield (%)	2.88%
Major shareholders	Lotte Corporation & others

Stock performance

(%)	1M	3M	12M
Absolute	(3.3)	22.4	9.8
Relative	20.0	43.6	(24.6)
Abs (US$)	0.7	36.3	17.3

3Q26 preview: focus on profit growth over top-line growth

Lotte Wellfood likely posted 3Q26 consolidated sales of W1.22tn (+5.1% YoY, +5.2% QoQ) and OP of W86.6bn (+25.1% YoY, +33.9% QoQ, OPM 7.1%), meeting consensus. Although domestic top-line growth was likely limited due to sluggish ice cream sales and declining revenue at the oils and fats business, we believe profitability continued improving thanks to the reduction of low-margin SKUs, production/procurement efficiency gains, and base effect from ERP cost burdens incurred last year. As profitability improvement offset cost pressure, OP growth likely far outpaced sales growth.

Overseas revenue likely increased 24.1% YoY on expanding sales of confectionery and ice cream in India and price hikes in Kazakhstan.

After cost improvements, lower input cost and overseas growth are next

In 2027, domestic cost structure improvements will likely be accompanied by a reduced raw material cost burden and expanding overseas capacity. The input price of cocoa entered a downward phase starting in 3Q26, and cost improvement effects will likely become more pronounced in 4Q26 starting with Pepero Day shipments.

However, burdens from certain raw materials including oils/fats and dairy products may persist. Overseas growth will likely be driven by rising utilization at India's Choco Pie Line 4 and Pune plant, and higher selling prices and expanding sales volume in Kazakhstan.

We estimate 2027 consolidated sales at W4.66tn (+3.6% YoY) and OP at W258.3bn (+17.0% YoY, OPM 5.5%). As earnings growth continues to outpace sales growth and profitability continues to improve, we advise focusing on the broadening of the profit recovery from cost efficiency measures to lower input costs and overseas growth. We maintain BUY and our target price of W165,000.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,216	5.1	5.2	1,212	0.4
OP	87	25.1	33.9	87	0.1
Pre-tax net profit	82	32.7	54.0	79	3.2
Net profit, CI	55	12.8	47.2	60	-8.3
OPM (%)	7.1	+1.1 %pt	+1.5 %pt	7.1	0
NPM (%)	4.5	+0.3 %pt	+1.3 %pt	4.9	-0.4 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	4,044	4,216	4,495	4,656
OP	157	110	221	258
Net profit, CI	85	72	158	189
P/E (x)	15.4	15.0	7.2	6.0
P/B (x)	0.6	0.5	0.5	0.4
EV/EBITDA (x)	6.3	6.8	5.5	5.2
ROE (%)	4.0	3.3	7.0	7.8

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Lotte Wellfood: earnings forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales		**975.1**	**1,064.3**	**1,156.8**	**1,019.8**	**1,027.3**	**1,155.7**	**1,216.2**	**1,096.2**	**4,216.0**	**4,495.5**	**4,656.3**
Domestic		**757.4**	**832.0**	**934.2**	**759.3**	**770.4**	**859.8**	**940.5**	**771.5**	**3,282.9**	**3,342.3**	**3,401.3**
	Confectionery	284.6	262.3	283.7	302.2	292.2	276.0	295.4	314.4	1,132.8	1,177.9	1,228.4
	Ice cream	100.6	181.8	243.2	81.5	103.3	193.1	252.1	83.4	607.1	631.8	654.5
	Oils and fats	113.7	123.7	131.0	122.4	120.7	131.4	120.5	126.1	490.7	498.8	503.0
	Others	258.5	264.2	276.3	253.1	254.2	259.3	272.5	247.7	1,052.1	1,033.8	1,015.4
Overseas		**230.0**	**243.9**	**233.5**	**273.5**	**270.5**	**311.2**	**289.7**	**337.3**	**980.9**	**1,208.8**	**1,310.3**
	India confectionery	34.1	27.8	33.4	34.3	39.1	35.6	39.5	39.5	129.6	153.7	168.8
	India ice cream	46.1	76.5	40.4	33.5	54.3	97.8	50.8	41.4	196.6	244.3	214.7
	Kazakhstan	67.6	60.7	64.5	97.9	83.0	84.8	92.7	127.0	290.6	387.5	442.8
	Russia	24.3	27.1	26.8	31.9	29.2	31.7	27.7	42.1	110.2	130.7	133.1
	Others	57.8	51.8	68.4	75.9	64.8	61.3	79.0	87.3	254.0	292.5	350.9
Consol. adj		-12.2	-11.6	-10.9	-13.0	-13.6	-15.3	-14.0	-12.7	-47.8	-55.6	-55.3
YoY (%)		***2.5%***	***1.9%***	***7.3%***	***5.1%***	***5.4%***	***8.6%***	***5.1%***	***7.5%***	***4.2%***	***6.6%***	***3.6%***
Domestic		***-0.9%***	***-0.6%***	***6.2%***	***1.3%***	***1.7%***	***3.3%***	***0.7%***	***1.6%***	***1.6%***	***1.8%***	***1.8%***
	Confectionery	*1.1%*	*0.4%*	*3.9%*	*4.6%*	*2.7%*	*5.2%*	*4.1%*	*4.0%*	*2.6%*	*4.0%*	*3.0%*
	Ice cream	*-5.6%*	*-7.5%*	*9.4%*	*-3.5%*	*2.6%*	*6.2%*	*3.7%*	*2.2%*	*-0.5%*	*4.1%*	*2.0%*
	Oils and fats	*3.0%*	*7.4%*	*16.4%*	*7.5%*	*6.2%*	*6.3%*	*-8.0%*	*3.0%*	*8.6%*	*1.6%*	*1.5%*
	Others	*-2.7%*	*0.2%*	*1.7%*	*-3.6%*	*-1.7%*	*-1.9%*	*-1.4%*	*-2.1%*	*-1.1%*	*-1.7%*	*1.0%*
Overseas		***16.6%***	***11.2%***	***12.2%***	***17.8%***	***17.6%***	***27.6%***	***24.1%***	***23.3%***	***14.5%***	***23.2%***	***8.4%***
	India confectionery	*12.5%*	*6.1%*	*5.8%*	*16.0%*	*14.9%*	*27.9%*	*18.2%*	*15.2%*	*10.1%*	*18.6%*	*15.0%*
	India ice cream	*34.4%*	*10.0%*	*6.7%*	*7.7%*	*17.7%*	*27.9%*	*25.7%*	*23.4%*	*13.7%*	*24.3%*	*22.0%*
	Kazakhstan	*1.9%*	*7.1%*	*10.8%*	*17.3%*	*22.8%*	*39.7%*	*43.8%*	*29.8%*	*9.8%*	*33.4%*	*14.2%*
	Russia	*22.5%*	*27.3%*	*20.8%*	*48.7%*	*19.9%*	*17.0%*	*3.4%*	*31.8%*	*29.9%*	*18.6%*	*20.0%*
	Others	*24.6%*	*13.7%*	*17.5%*	*14.0%*	*12.1%*	*18.4%*	*15.5%*	*15.0%*	*17.2%*	*15.2%*	*15.0%*
% of sales												
Domestic		**77.7%**	**78.2%**	**80.8%**	**74.5%**	**75.0%**	**74.4%**	**77.3%**	**70.4%**	**77.9%**	**74.3%**	**73.0%**
	Confectionery	29.2%	24.6%	24.5%	29.6%	28.4%	23.9%	24.3%	28.7%	26.9%	26.2%	26.4%
	Ice cream	10.3%	17.1%	21.0%	8.0%	10.1%	16.7%	20.7%	7.6%	14.4%	14.1%	14.1%
	Oils and fats	11.7%	11.6%	11.3%	12.0%	11.8%	11.4%	9.9%	11.5%	11.6%	11.1%	10.8%
	Others	26.5%	24.8%	23.9%	24.8%	24.7%	22.4%	22.4%	22.6%	25.0%	23.0%	21.8%
Overseas		**23.6%**	**22.9%**	**20.2%**	**26.8%**	**26.3%**	**26.9%**	**23.8%**	**30.8%**	**23.3%**	**26.9%**	**28.1%**
	India confectionery	3.5%	2.6%	2.9%	3.4%	3.8%	3.1%	3.2%	3.6%	3.1%	3.4%	3.6%
	India ice cream	4.7%	7.2%	3.5%	3.3%	5.3%	8.5%	4.2%	3.8%	4.7%	5.4%	4.6%
	Kazakhstan	6.9%	5.7%	5.6%	9.6%	8.1%	7.3%	7.6%	11.6%	6.9%	8.6%	9.5%
	Russia	2.5%	2.5%	2.3%	3.1%	2.8%	2.7%	2.3%	3.8%	2.6%	2.9%	2.9%
	Others	5.9%	4.9%	5.9%	7.4%	6.3%	5.3%	6.5%	8.0%	6.0%	6.5%	7.5%
OP		**16.4**	**34.3**	**69.3**	**-10.5**	**35.8**	**64.7**	**86.6**	**33.7**	**109.5**	**220.8**	**258.3**
YoY (%)		*-56.1%*	*-45.8%*	*-8.9%*	*RR*	*118.4%*	*88.5%*	*25.1%*	*TTB*	*-30.3%*	*101.6%*	*17.0%*
OPM (%)		**1.7%**	**3.2%**	**6.0%**	**-1.0%**	**3.5%**	**5.6%**	**7.1%**	**3.1%**	**2.6%**	**4.9%**	**5.5%**

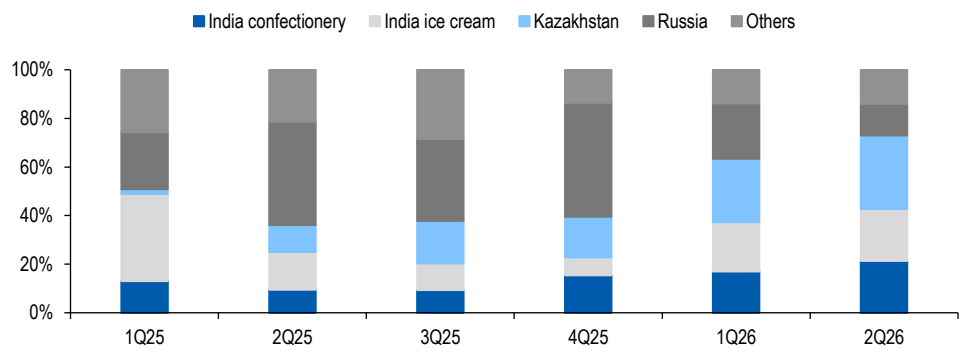
Note: RR = remain in red, TTB = turn to black
Source: Yuanta Securities

Lotte Wellfood: valuation table (Wbn, $mn)

		Lotte Wellfood	Orion	Modelez (MDLZ)	Pepsico (PEP)	Hershey (HSY)
Market cap		**1,127**	4,431	81	182	34
Sales	2025	**4,216**	3,332	39	94	12
	2026E	**4,495**	3,741	40	99	12
	2027E	**4,656**	4,082	41	102	13
	2028E	**4,847**	4,349	43	105	13
OP	2025	**110**	558	4	11	1
	2026E	**221**	623	5	15	3
	2027E	**258**	722	6	16	3
	2028E	**297**	791	6	17	3
OPM (%)	2025	**2.6%**	16.8%	9.2%	12.2%	12.3%
	2026E	**4.9%**	16.7%	13.3%	15.6%	20.5%
	2027E	**5.5%**	17.7%	14.1%	15.5%	22.8%
	2028E	**6.1%**	18.2%	14.5%	15.8%	23.2%
Net profit, CI	2025	**72**	383	2	8	1
	2026E	**158**	491	4	11	2
	2027E	**189**	573	4	12	2
	2028E	**214**	625	4	12	2
P/E (x)	2025	**14.8**	10.9	19.4	28.7	44.2
	2026E	**7.2**	9.0	20.7	15.9	19.5
	2027E	**6.0**	7.7	19.1	15.6	16.9
	2028E	**5.3**	7.1	18.0	14.8	16.1

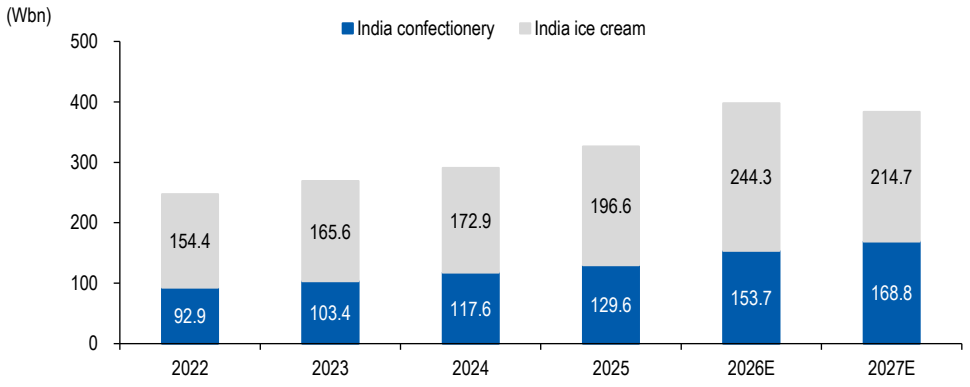
Note: CI = controlling interest, market cap as of Oct 20, 2026
Source: Bloomberg, Yuanta Securities

Lotte Wellfood: sales breakdown by region



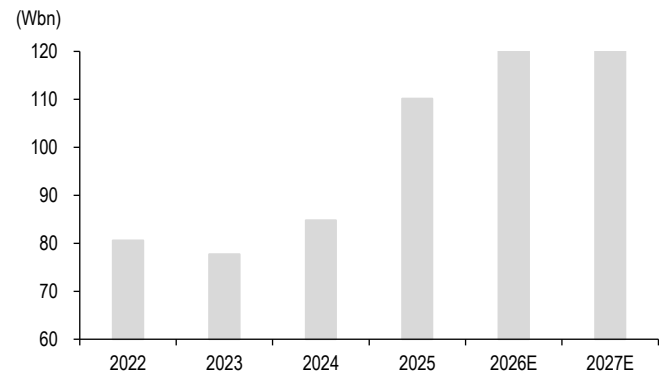
Source: company data, Yuanta Securities

India subsidiary sales trend and forecast



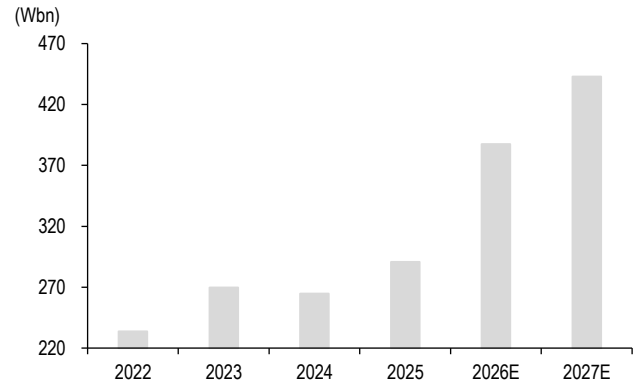
Source: company data, Yuanta Securities

Russia subsidiary sales trend and forecast



Source: company data, Yuanta Securities

Kazakhstan subsidiary sales trend and forecast



Source: company data, Yuanta Securities

Lotte Wellfood (280360 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**4,044**	**4,216**	**4,495**	**4,656**	**4,847**
Cost of sales	2,849	3,073	3,183	3,280	3,419
Gross profit	1,195	1,143	1,313	1,376	1,428
SG&A	1,038	1,034	1,092	1,117	1,131
Operating profit	**157**	**110**	**221**	**258**	**297**
EBITDA	361	321	412	429	449
Non-operating profit	-49	-9	3	-1	-1
Forex gains	-8	14	-4	-2	-2
Net interest income	-32	-38	-40	-40	-40
Equity-method gains	1	-25	26	26	26
Other	-9	39	21	16	16
Net prof before income tax	108	100	223	258	297
Income tax	26	29	68	71	86
Net profit from continuing ops	82	71	156	186	211
Net profit from discontinued ops	0	0	0	0	0
Net profit	82	71	156	186	211
NP for controlling interest	**85**	**72**	**158**	**189**	**214**
Total comprehensive income	111	92	167	198	223
Total comprehensive income, CI	107	86	157	186	209

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,429**	**1,574**	**1,622**	**1,661**	**1,720**
Cash & cash equivalents	322	466	443	440	451
Accounts receivables & other	307	332	353	366	381
Inventory	567	639	681	705	734
Non-current assets	2,913	3,000	3,142	3,302	3,471
Tangible assets	2,087	2,257	2,438	2,616	2,802
Investment in affiliates	48	11	12	12	13
Other investment assets	64	58	60	61	62
Total assets	**4,342**	**4,574**	**4,764**	**4,962**	**5,191**
Current liabilities	1,056	1,003	1,039	1,060	1,085
Accounts payable & other	451	452	482	499	520
ST financial liabilities	31	5	5	5	5
Liquid LT liabilities	488	449	449	449	449
Non-current liabilities	1,059	1,284	1,300	1,308	1,319
LT financial liabilities	84	295	295	295	295
Debentures	716	719	719	719	719
Total liabilities	**2,115**	**2,287**	**2,339**	**2,369**	**2,404**
Equity, controlling interest	2,135	2,191	2,331	2,502	2,699
Paid-in capital	5	5	5	5	5
Capital surplus	1,130	1,130	1,130	1,130	1,130
Retained earnings	569	619	747	907	1,091
Equity, non-controlling interest	92	96	94	91	89
Total equity	**2,226**	**2,287**	**2,425**	**2,594**	**2,787**
Net debt	**894**	**1,005**	**1,027**	**1,029**	**1,018**
Total debt	1,384	1,531	1,532	1,533	1,534

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**286**	**231**	**305**	**336**	**336**
Net profit	82	71	156	186	211
Depreciation & amortization	178	186	169	151	135
Forex gains	1	-18	4	2	2
Affiliate investment gains	-1	25	-26	-26	-26
Increase in net working cap	-78	-119	-85	-63	-69
Other	103	85	88	85	83
Investing cash flow	**-385**	**-142**	**-276**	**-255**	**-245**
Investment	4	11	-2	-1	-2
Increase in tangible assets	-316	-346	-350	-330	-320
Decrease in tangible assets	3	5	0	0	0
Other	-76	188	76	77	76
Financing cash flow	**-82**	**46**	**-104**	**-105**	**-104**
ST financial liabilities	-37	-25	1	1	1
Debenture/LT financial liabilities	56	172	0	0	0
Equity	0	0	0	0	0
Cash dividend	-27	-30	-29	-29	-29
Other cash flow	-74	-71	-76	-76	-76
Consolidation adj and other	5	7	52	20	24
Increase in cash & equivalents	**-177**	**142**	**-23**	**-3**	**10**
Beginning cash & equivalents	499	323	466	443	440
Ending cash & equivalents	322	466	443	440	451
NOPLAT	157	110	**221**	**258**	**297**
FCF	**-30**	**-115**	**-45**	**6**	**16**

Valuation

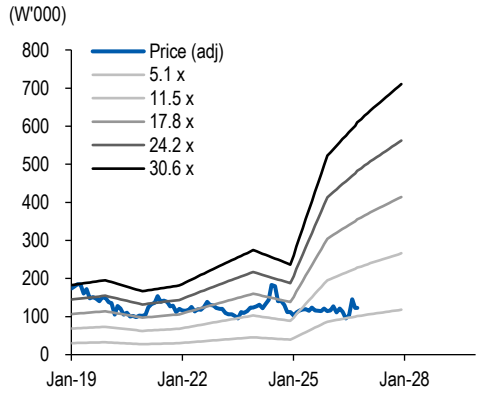
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	8,969	7,734	17,073	20,504	23,224
BPS (won)	241,452	247,808	263,663	283,033	305,233
EBITDA/shr (won)	38,263	34,397	44,650	46,658	48,830
SPS (won)	428,663	451,068	486,785	505,863	526,564
DPS (won)	3,300	3,300	3,300	3,300	3,500
P/E (x)	**15.4**	**15.0**	**7.2**	**6.0**	**5.3**
P/B (x)	**0.6**	**0.5**	**0.5**	**0.4**	**0.4**
EV/EBITDA (x)	**6.3**	**6.8**	**5.5**	**5.2**	**5.0**
P/S (x)	**0.3**	**0.3**	**0.3**	**0.2**	**0.2**

Key financial data

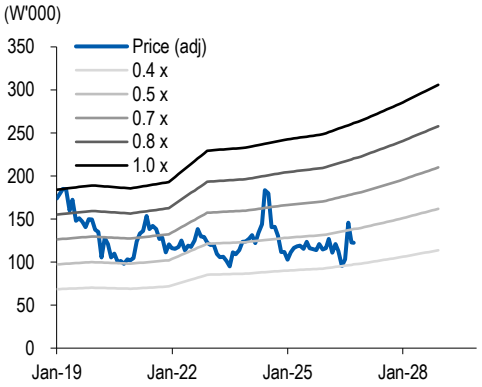
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-0.5**	**4.2**	**6.6**	**3.6**	**4.1**
Operating profit (%YoY)	**-11.3**	**-30.3**	**101.6**	**17.0**	**15.1**
Net profit, CI (%YoY)	**20.0**	**-14.6**	**118.1**	**19.7**	**13.3**
Gross margin (%)	29.6	27.1	29.2	29.5	29.5
Operating margin (%)	**3.9**	**2.6**	**4.9**	**5.5**	**6.1**
Net margin, CI (%)	2.1	1.7	3.5	4.1	4.4
EBITDA margin (%)	8.9	7.6	9.2	9.2	9.3
ROIC (%)	4.3	2.6	5.2	5.7	6.2
ROA (%)	2.0	1.6	3.4	3.9	4.2
ROE (%)	**4.0**	**3.3**	**7.0**	**7.8**	**8.2**
Debt-to-equity (%)	95.0	100.0	96.5	91.3	86.2
Net debt-to-equity (%)	41.9	45.9	44.1	41.1	37.7
OP/financing cost (x)	2.9	2.1	4.0	4.7	5.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

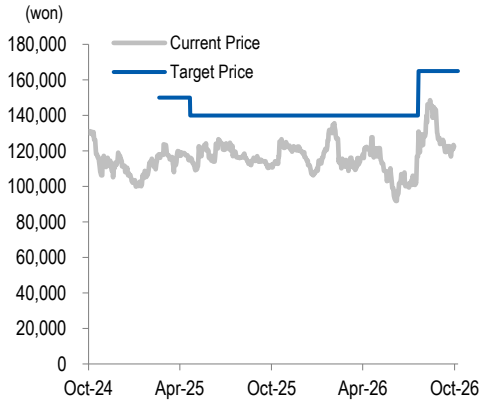
P/E band chart



P/B band chart



Lotte Wellfood (280360 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/21	BUY	165,000	1 yr		
2026/08/10	BUY	165,000	1 yr		
2026/05/12	After 1yr		1 yr	-24.57	-13.14
2025/05/12	BUY	140,000	1 yr	-16.09	-3.14
2025/03/11	BUY	150,000	1 yr	-21.88	-17.47

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 21, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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